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S. Korea Healthcare | Asia Pacific

Medical Beauty 3Q26: A Pause

Given weak 3Q seasonality, we expect most of our coverage companies to miss expectations. We cut our price targets for all five companies to reflect the recent share price decline.

We believe the sector's share price weakness over the last eight weeks (PR -24%, L&C +3%, Classys -19%, Hugel -29%, MedyTox -14%) reflects weak 3Q seasonality against unusually high expectations for 3Q (Exhibit 2). We found that 3Q26 consensus estimates are higher than 2Q26 estimates for all companies except Hugel, which looks unusual as 3Q earnings have historically been lower than 2Q earnings in the same year due to seasonality. In addition, unfavorable FX has weighed on results. Classys' sluggish 2Q (link) and Hugel's disappointing Investor Day call (link) also pressured the share prices of the whole sector.

1) Skin booster makers

PharmaResearch (PR): Although PR previously signaled a strong 3Q26, we expect its 3Q26 margin to come in below expectations, given local peers' sluggish 3Q performance and the growing contribution from cosmetics sales. We forecast W94bn of medical device sales (+22% YoY, -2% QoQ) and W57bn of cosmetics sales (+61% YoY, -6% QoQ) in 3Q26. We believe cosmetics sales declined QoQ in 3Q26 because PR recorded an additional W4bn of exports to Ukraine in 2Q26 ahead of regulatory changes in 2H26.

L&C Bio: We forecast largely in-line 3Q26 results for L&C. The key catalyst remains US FDA approval of Re2O as a human tissue product in 4Q26.

2) Medical aesthetics device makers

Classys: We expect 3Q26 results to miss consensus significantly, given the sluggish 2Q26, weak 3Q seasonality, and the CEO change in July. The company granted 370,000 stock options to the new CEO and management team in July 2026, exercisable after two years. As a result, we add c.W1bn of stock option expense per quarter to SG&A over the next two years.

3) Toxin makers

- Hugel: On its preview call on 12 October 2026, Hugel said consensus expectations remain high despite negative US toxin exports in 3Q26. We assume a 4–5 month inventory buyback from Benev in 3Q26, implying a W9bn reduction in US toxin exports in 3Q26, as well as a 30% sales commission payable to Benev over the next 12 months before Hugel completes its direct marketing transition. We also assume W1.5bn of amortization related to the lump-sum payment made to Benev for access to its client data over the next four quarters.

- MedyTox: For 3Q26, we forecast lower-than-expected sales due to weak seasonality, but higher-than-expected OP as the company indicated in its 2Q26 earnings release that legal consulting fees would likely decline from 3Q26.

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S. KOREA HEALTHCARE

Asia Pacific

Industry View **In-Line**

WHAT'S CHANGED

PharmaResearch Co Ltd (214450.KQ) Price Target	From W647,000	To **W462,000**
L&C Bio Co Ltd (290650.KQ) Price Target	From W103,000	To **W79,000**
Classys Inc (214150.KQ) Price Target	From W55,000	To **W37,000**
Hugel Inc (145020.KQ) Price Target	From W309,000	To **W226,000**
MedyTox (086900.KQ) Price Target	From W104,000	To **W81,000**

Exhibit 1 : Order of preference

Company Ticker	Rating	Upside	3Q26e OP MSe vs Cons*
PharmaResearch 214450.KQ	OW	55%	W60bn (-18%)
L&C Bio 290650.KQ	OW	42%	W11bn (-1%)
Classys 214150.KQ	EW	23%	W38bn (-26%)
Hugel 145020.KQ	EW	25%	W20bn (-57%)
Medytox 086900.KQ	EW	23%	W9bn (+16%)

Source: Morgan Stanley Research. *Bloomberg consensus.

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AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
PharmaResearch Co Ltd 214450.KQ		
Rejuran and cosmetic sales	↓ Likely downside surprise	↓ Modest revision lower
• See details on front page.		
L&C Bio Co Ltd 290650.KQ		
Re2O sales and margin	— In-line	— Largely unchanged
• See details on front page.		
Classys Inc 214150.KQ		
Sales by product and costs	↓ Likely downside surprise	↓ Modest revision lower
• See details on front page.		
Hugel Inc 145020.KQ		
Sales by product and costs	↓ Very likely downside surprise	↓ Modest revision lower
• See details on front page.		
MedyTox 086900.KQ		
Sales by product and legal fees	↑ Likely upside surprise	— Largely unchanged
• See details on front page.		

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

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3Q26 Preview

Exhibit 2: S. Korea medical beauty: MSe vs Consensus for 3Q26

Company Ticker	Rating	(W bn)	3Q25	2Q26	3Q26 earnings estimates MSe (M)	YoY	QoQ	Cons (C)	Diff. (M/C-1)	Earnings release
PharmaResearch		**Sales**	135	179	**170**	26%	-5%	**179**	-5%	Around Oct
214450.KQ	OW	**OP**	62	67	**60**	-4%	-10%	**72**	-18%	6
		OPM	46%	37%	**35%**			**40%**		
L&C Bio		**Sales**	23	39	**44**	95%	13%	**46**	-4%	Around Oct
290650.KQ	OW	**OP**	3	9	**11**	266%	23%	**11**	-1%	6
		OPM	13%	22%	**24%**			**23%**		
Classys		**Sales**	83	106	**105**	26%	-1%	**117**	-10%	The week of
214150.KQ	EW	**OP**	38	44	**38**	1%	-13%	**51**	-26%	Nov 9
		OPM	45%	42%	**36%**			**44%**		
Hugel		**Sales**	106	138	**91**	-14%	-34%	**122**	-25%	Early Nov
145020.KQ	EW	**OP**	47	56	**20**	-59%	-65%	**46**	-57%	
		OPM	45%	41%	**21%**			**38%**		
Medytox		**Sales**	61	69	**62**	1%	-10%	**68**	-9%	The week of
086900.KQ	EW	**OP**	9	5	**9**	-2%	81%	**8**	16%	Nov 9
		OPM	15%	7%	**14%**			**11%**		

Source: Bloomberg consensus, Morgan Stanley Research estimates (3Q26 estimates and earnings release dates).

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What's Changed

Exhibit 3: S. Korea medical beauty: What's changed?

Company	Ticker	Rating New	Rating Old	(KRW)	New	Old	Chg %	Current Price	Upside / Downside
PharmaResearch	214450.KQ	**OW**	OW	**Price Target**	**462,000**	647,000	-29%	299,000	**55%**
				Bull case	696,000	995,000	-30%		
				Bear case	200,000	232,000	-14%		
				2026e EPS	14,886	15,728	-5%		
				2027e EPS	17,180	18,120	-5%		
				2028e EPS	19,852	20,337	-2%		
L&C Bio	290650.KQ	**OW**	OW	**Price Target**	**79,000**	103,000	-23%	55,800	**42%**
				Bull case	126,000	170,000	-26%		
				Bear case	16,000	23,000	-30%		
				2026e EPS	-143	886	-116%		
				2027e EPS	1,397	1,584	-12%		
				2028e EPS	2,121	2,580	-18%		
Classys	214150.KQ	**EW**	EW	**Price Target**	**37,000**	55,000	-33%	30,100	**23%**
				Bull case	62,000	98,000	-37%		
				Bear case	23,000	31,000	-26%		
				2026e EPS	1,819	2,207	-18%		
				2027e EPS	1,920	2,388	-20%		
				2028e EPS	2,243	2,659	-16%		
Hugel	145020.KQ	**EW**	EW	**Price Target**	**226,000**	309,000	-27%	181,300	**25%**
				Bull case	286,000	449,000	-36%		
				Bear case	146,000	171,000	-15%		
				2026e EPS	10,593	11,688	-9%		
				2027e EPS	13,478	13,510	0%		
				2028e EPS	14,858	15,065	-1%		
Medytox	086900.KQ	**EW**	EW	**Price Target**	**81,000**	104,000	-22%	66,100	**23%**
				Bull case	103,000	143,000	-28%		
				Bear case	52,000	62,000	-16%		
				2026e EPS	3,427	3,448	-1%		
				2027e EPS	4,780	5,732	-17%		
				2028e EPS	5,827	6,422	-9%		

Source: Morgan Stanley Research estimates. Pricing data as of Oct 9, 2026.

Lowering DCF assumptions (beta, terminal growth rate, and FCF growth rate) for all five stocks to reflect significant YTD share price declines: We apply the same beta across all five Korea medical aesthetics companies. We increase beta from 1.05 to 1.10 to reflect significant YTD share price declines (PharmaResearch -25%, L&C -8%, Classys -44%, Hugel -22%, MedyTox -45% vs. Kosdaq -4%). We also lower the terminal growth rate and FCF growth rate for each company (as shown below), except for L&C, which remains in an early growth phase, to reflect our lower earnings forecasts.

1) PharmaResearch

We update our earnings model to reflect 2Q26 results.

Change in DCF assumptions: As noted above, while increasing beta, we lower the terminal growth rate and FCF growth rate from 5.5% to 4.5% in our base case, from 6.5% to 6.0% in our bull case, and from -3% to -6% in our bear case.

Changes to EPS and price target/scenario values: We cut 2026/2027/2028 EPS by 5%/5%/2%. In total, we lower our DCF-based price target (base case value), bull case

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value, and bear case values by 29%, 30% and 14%, respectively. The decline in the bear-case value is smaller than in the base and bull cases because the PV of FCF accounts for a larger share of the bear-case valuation (Exhibit 5), and the PV of FCF declines by only 2% under our revised earnings estimates versus the previous forecast.

2) L&C Bio

We update our earnings model to reflect 2Q26 results.

Change in DCF assumptions: As noted above, we increase beta from 1.05 to 1.10.

Changes to EPS and price target/scenario values: We cut 2026/2027/2028 EPS by 116%/12%/18%. Overall, we lower our DCF-based price target (base-case value), bull-case value, and bear-case value by 23%, 26%, and 30%, respectively.

3) Classys

We update our earnings model to reflect 2Q26 results.

Change in DCF assumptions: As noted above, while increasing beta, we lower the terminal growth rate and FCF growth rate from 4% to 2% in our base case, from 6% to 5% in our bull case, and from -1% to -5% in our bear case.

Changes to EPS and price target/scenario values: We cut 2026/2027/2028 EPS by 18%/20%/16%. Overall, we lower our DCF-based price target (base-case value), bull-case value, and bear-case value by 33%, 37%, and 26%, respectively.

4) Hugel

We update our earnings model to reflect 2Q26 results.

Change in DCF assumptions: As noted above, while increasing beta, we lower the terminal growth rate and FCF growth rate from 3.0% to 1.5% in our base case, from 5.0% to 3.5% in our bull case, and from -6.0% to -7.5% in our bear case.

Changes to EPS and price target/scenario values: We cut 2026/2027/2028 EPS by 9%/0%/1%. Overall, we lower our DCF-based price target (base-case value), bull-case value, and bear-case value by 27%, 36%, and 15%, respectively. The declines in the base- and bear-case values are smaller than the decline in the bull-case value because the PV of FCF accounts for a larger share of the base- and bear-case valuations (Exhibit 11) while the PV of FCF declines by 18%, a relatively modest change versus other DCF components, under our revised earnings estimates versus the previous forecast.

5) MedyTox

We update our earnings model to reflect 2Q26 results.

Change in DCF assumptions: As noted above, while increasing beta, we lower the terminal growth rate and FCF growth rate from 2.5% to 1.5% in our base case, from 4.5% to 3.5% in our bull case, and from -5.5% to -7.5% in our bear case.

Changes to EPS and price target/scenario values: We cut 2026/2027/2028 EPS by 1%/17%/9%. Overall, we lower our DCF-based price target (base-case value), bull-case value, and bear-case value by 22%, 28%, and 16%, respectively. The declines in the base- and bear-case values are smaller than the decline in the bull-case value because the PV of FCF accounts for a larger share of the base- and bear-case valuations (Exhibit 13), while

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the PV of FCF declines by 16%, a relatively modest change versus other DCF components, under our revised earnings estimates versus the previous forecast.

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PharmaResearch: Financial Summary

Exhibit 4: PharmaResearch: Financial Summary

Income Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028
Net Sales	**536**	**671**	**788**	**893**
COGS	125	162	191	216
Gross Profit	**411**	**508**	**597**	**677**
SG&A	197	264	311	352
Operating Profit	**214**	**245**	**286**	**325**
Net NO Profit/Loss	2	8	6	12
Pre-tax Profit	**217**	**253**	**292**	**337**
Taxes	48	59	69	79
Net Profit	**168**	**193**	**223**	**258**
EPS (KRW)	**12,959**	**14,886**	**17,180**	**19,852**

Balance Sheet

KRW bn (Years End Dec)	2025	2026E	2027E	2028
Cash & Equivalents	176	310	435	543
Marketable Securities	332	350	400	500
Acct Receivable	52	67	79	89
Inventories	83	104	122	138
Current Assets	**760**	**951**	**1,166**	**1,411**
Property and equipment, net	175	190	206	223
Intangible Assets	31	32	33	34
Investment assets	33	30	40	50
Other Non-Current Assets	45	81	88	95
Fixed Assets	**284**	**333**	**367**	**403**
Total Assets	**1,044**	**1,284**	**1,533**	**1,814**
Short term Debt	7	7	8	9
Trade Payable	56	71	83	94
Other Current Liablities	47	60	71	80
Current Liabilities	**110**	**138**	**162**	**184**
Long-Term Debt	0	0	0	0
Deferred tax liabilities	1	2	3	3
Other Long-Term Liabilities	208	226	227	228
Non-current Liabilities	**210**	**228**	**230**	**231**
Common stock	5	5	6	6
Capital Surplus	194	194	194	194
Retained Earnings	492	685	909	1,166
Equity to Minority Shareholders	35	35	35	35
Total Stockholder's equity	724	917	1,141	1,399
Total Liab+Eqty	**1,044**	**1,284**	**1,533**	**1,814**

Cash Flow Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028
Net Income	168	193	223	258
Dep & Amt	16	18	18	18
Chg in WC	(25)	(22)	(18)	(16)
Others	1	(6)	(9)	(14)
Payments for taxes	48	59	69	79
CF from Operations	**209**	**242**	**283**	**326**
Capital Expenditures	30	29	30	31
Other Investing Cash Flow	(186)	(41)	(56)	(58)
CF from Investing	**(156)**	**(12)**	**(27)**	**(28)**
Cash Dividends	(12)	(43)	(56)	(67)
Change in Debt	(1)	(0)	0	0
Change in Equity	0	0	1	0
Other Financing Cash Flow	(3)	(53)	(77)	(122)
CF from Financing	**(15)**	**(96)**	**(132)**	**(189)**
Change in Cash	**10**	**134**	**125**	**109**

Ratio Analysis

	2025	2026E	2027E	2028
Growth				
Sales	53.2%	25.0%	17.5%	13.4%
EBITDA	64.8%	14.1%	15.7%	13.0%
Operating Profit	70.1%	14.1%	16.8%	13.8%
Net Income	89.2%	14.9%	15.4%	15.6%
EPS	81.1%	14.9%	15.4%	15.6%
Margins				
EBITDA	42.9%	39.2%	38.6%	38.5%
Gross Margin	76.7%	75.8%	75.8%	75.8%
Operating Profit	40.0%	36.5%	36.3%	36.4%
Net Income	31.4%	28.8%	28.3%	28.9%
ROE	23.2%	21.1%	19.6%	18.4%
ROA	16.1%	15.1%	14.6%	14.2%
Operating Efficiency				
Accounts receivable turnover	10.4x	10.0x	10.0x	10.0x
Accounts payable turnover	9.5x	9.5x	9.5x	9.5x
Inventory turnover	6.5x	6.5x	6.5x	6.5x
Leverage				
Net Debt to Equity	(0.7)	(0.7)	(0.7)	(0.7)

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates.

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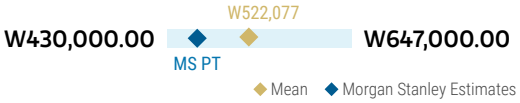
Risk Reward – PharmaResearch Co Ltd (214450.KQ)

Going global with regenerative injectable

PRICE TARGET W462,000

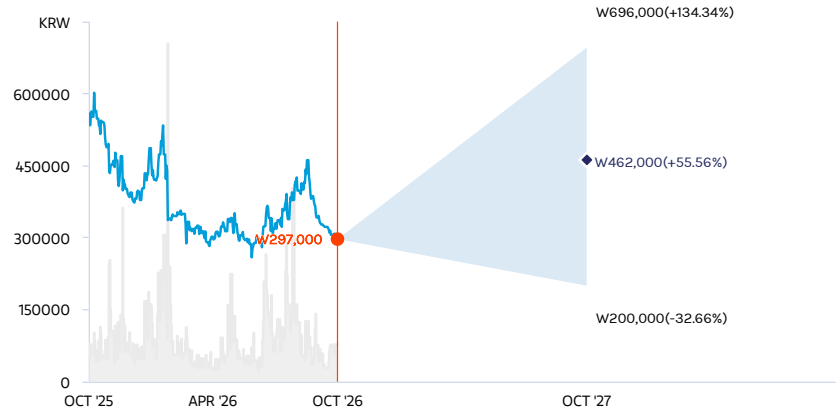
Base case, discounted cash flow model. We think this methodology best captures PR's sustainable growth potential over the longer term. Our key DCF assumptions include an 8.3% cost of equity (beta 1.1, risk-free rate 3.0%, and risk premium 6.0%), 4.5% terminal growth, and 4.5% FCF growth.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



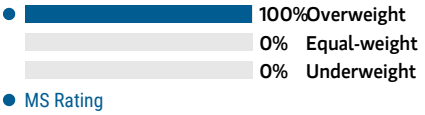
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect PharmaResearch's (PR) sales to double to W1.0trn by 2030, growing at a CAGR of 14% over 2025-2030, thanks to Rejuran sales in Korea and overseas markets.
- Well positioned as the originator of PN injectables in Asia's medical aesthetics market.
- We believe difficulty sourcing raw materials (wild salmon) acts as a barrier to entry for newcomers.
- Global expansion is in the early phase, with plans to enter China and the US in 2028 and 2032, respectively. The company launched in the EU market in early 2026.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth:	*Positive*
Self-help:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE W696,000

PR strengthens its market leadership

We assume 6.0% terminal growth. Rejuran penetrates major overseas markets faster than expected.

BASE CASE W462,000

PR maintains its market leadership

We assume 4.5% terminal growth. Rejuran penetration to major overseas markets is in line with expectations.

BEAR CASE W200,000

PR loses its market leadership.

We assume -6.0% terminal growth. We expect PR to lose its market leadership position due to competition.

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Risk Reward – PharmaResearch Co Ltd (214450.KQ)

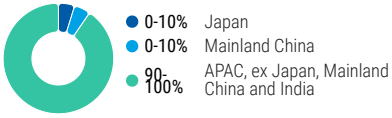
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Sales Growth (%)	53.2	25.0	17.5	13.4
EBIT Growth (%)	70.1	14.1	16.8	13.8
FCF Growth (%)	57.6	26.4	17.7	15.5

INVESTMENT DRIVERS

- Sales growth of major products in major countries
- Margin improvement
- Adding new products

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected sales/earnings growth
- Getting major regulatory approvals on its products
- Entering new markets
- Addition of new products

RISKS TO DOWNSIDE

- Lower-than-expected sales/earnings growth
- Emergence of effective competing skin care procedures
- Increasing competition in PN injectables
- Any developments that limit access to raw materials (wild salmon)
- Potential lawsuits targeting PR's intellectual property

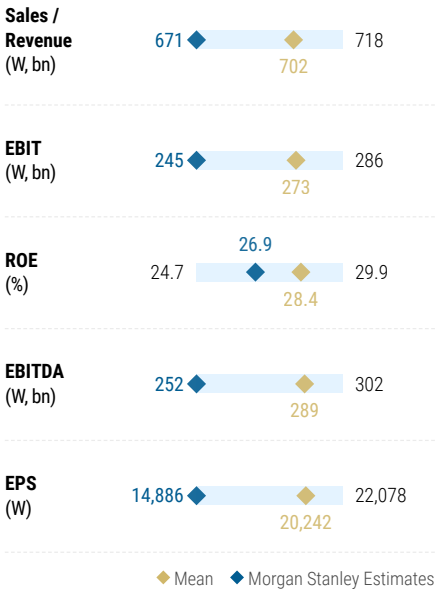
OWNERSHIP POSITIONING

Inst. Owners, % Active 60.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

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PharmaResearch: DCF valuation

Exhibit 5: PharmaResearch: DCF valuation

(KRW bn)	2025	2026E	2027E	2028E	2029E	2030E		Continuing
NOPLAT	167	187	219	249	268	279		
Depreciation & Amortization	16	18	18	18	19	19		
Free Cash	**182**	**205**	**237**	**267**	**286**	**298**		
Working Capital Increase	25	22	18	16	11	7		
Capex (Tangible & Intangible Assets)	31	29	30	31	33	34		
Total Investment	**55**	**51**	**48**	**47**	**44**	**41**		
Free Cash Flow	**127**	**154**	**189**	**220**	**242**	**257**		**268**
PVIF(Present Value Interest Factor)	1.00	0.92	0.85	0.79	0.73	0.67	0.62	0.62
PV of FCF	127	142	161	173	176	172		
Terminal Value								7,079

Share Price Calculation	
FCF Growth (normalized, %)	4.5
Terminal Growth (%)	4.5
WACC	8.3
PV of FCF	952
PV of Continuing Value	4,389
Sum	5,342
Net Debt	-501
Equity Value	5,842
Non-operating Assets	49
# of Shares ('000)	12,742
Share Price (calculated)	**462,000**
Stock Price	299,000
Total Return	**54.6%**

WACC Calculation	
Beta	1.10
Rf	3.0
Risk Premium	6.0
Re	**9.6**
We	0.8
Wd (optimal)	0.2
Re	9.6
Rd	4.0
WACC	**8.3**

Source: Morgan Stanley Research (E) estimates. Note: Priced as of the close of Oct 9, 2026.

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L&C Bio: Financial Summary

Exhibit 6: L&C Bio: Financial Summary

Income Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Net Sales	**85**	**163**	**234**	**313**
COGS	40	62	81	104
Gross Profit	**45**	**101**	**153**	**209**
SG&A	41	64	88	115
Operating Profit	**4**	**38**	**65**	**94**
Net NO Profit/Loss	(164)	(16)	(10)	(11)
Pre-tax Profit	**(160)**	**21**	**55**	**83**
Taxes	(22)	26	13	20
Net Profit	**(138)**	**(4)**	**42**	**64**
EPS (KRW)	**(5,612)**	**(143)**	**1,397**	**2,121**

Balance Sheet

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Cash & Equivalents	31	143	114	111
Marketable Securities	36	60	70	80
Acct Receivable	26	41	59	78
Inventories	43	65	82	94
Current Assets	**139**	**319**	**335**	**375**
Property and equipment, net	107	139	173	204
Intangible Assets	128	128	128	128
Investment assets	2	3	4	4
Other Non-Current Assets	81	53	60	66
Fixed Assets	**317**	**323**	**364**	**402**
Total Assets	**457**	**642**	**699**	**778**
Short term Debt	177	79	79	79
Trade Payable	8	13	16	19
Other Current Liablities	52	24	35	47
Current Liabilities	**238**	**116**	**130**	**144**
Long-Term Debt	4	6	6	6
Deferred tax liabilities	0	0	0	0
Other Long-Term Liabilities	6	6	7	8
Non-current Liabilities	**10**	**13**	**14**	**14**
Common stock	12	15	15	15
Capital Surplus	79	385	385	385
Retained Earnings	99	95	137	201
Equity to Minority Shareholders	10	10	10	10
Total Stockholder's equity	209	513	555	619
Total Liab+Eqty	**457**	**642**	**699**	**778**

Cash Flow Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Net Income	(138)	(4)	42	64
Dep & Amt	8	9	9	11
Chg in WC	(2)	(33)	(31)	(29)
Others	166	6	(1)	(0)
Payments for taxes	(22)	26	13	20
CF from Operations	**13**	**4**	**31**	**65**
Capital Expenditures	16	41	41	42
Other Investing Cash Flow	(49)	(74)	(75)	(74)
CF from Investing	**(33)**	**(33)**	**(34)**	**(32)**
Cash Dividends	(1)	0	(1)	(2)
Change in Debt	27	(13)	0	0
Change in Equity	10	309	0	0
Other Financing Cash Flow	(3)	(155)	(25)	(33)
CF from Financing	**32**	**141**	**(27)**	**(35)**
Change in Cash	**13**	**112**	**(29)**	**(3)**

Ratio Analysis

	2025	2026E	2027E	2028E
Growth				
Sales	19%	90%	44%	34%
EBITDA	19%	271%	57%	43%
Operating Profit	15%	753%	72%	44%
Net Income	na	(97%)	na	52%
EPS	na	na	na	52%
Margins				
EBITDA	15%	29%	31%	34%
Gross Margin	53%	62%	65%	67%
Operating Profit	5%	23%	28%	30%
Net Income	(162%)	(3%)	18%	20%
ROE	(66%)	(1%)	8%	10%
ROA	(30%)	(1%)	6%	8%
Operating Efficiency				
Accounts receivable turnover	3.3x	4.0x	4.0x	4.0x
Accounts payable turnover	10.4x	12.5x	14.3x	16.7x
Inventory turnover	2.0x	2.5x	2.9x	3.3x
Leverage				
Net Debt to Equity	0.5	(0.2)	(0.2)	(0.2)

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates.

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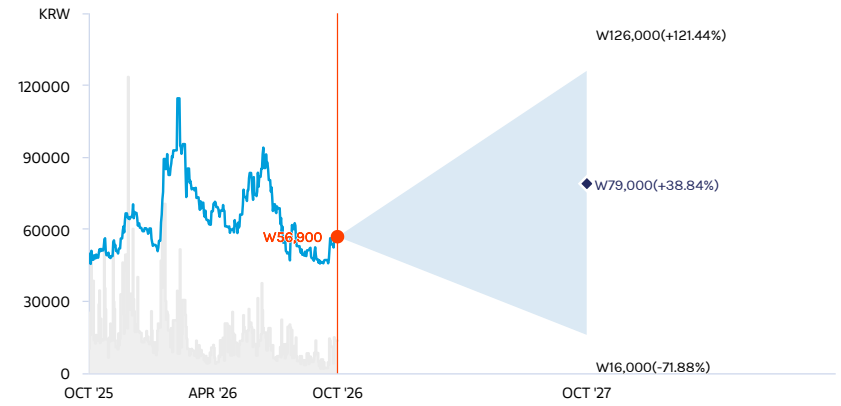
Risk Reward – L&C Bio Co Ltd (290650.KQ)

Leading an ECM skin booster wave with Re2O

PRICE TARGET W79,000

Our base case is derived from a DCF model, as we think this methodology best captures L&C Bio's sustainable long-term growth potential. We apply a WACC of 8.3%, based on a beta of 1.1, a 3.0% risk-free rate, and a 6.0% equity risk premium. We also assume 5.5% terminal growth and 5.5% normalized FCF growth.

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- **We expect L&C Bio to capitalize on its first-mover advantage in the ECM skin booster market.** L&C launched the world's first ECM skin booster in Korea in November 2024 by converting conventional hADM from sheet type to powder type for injection.
- **L&C aims to expand production capacity for Re2O (150mg) six-fold this year to match demand.** We forecast Re2O sales of W62bn in 2026 (+902% YoY) vs L&C's initial target of W70bn. The first capacity expansion increased monthly capacity from 24,000 units to 80,000 units in mid-May 2026, with a further expansion to 150,000 units per month planned for Oct 2026.
- **L&C Bio is also entering the China market (MegaDerm Plus), which could be another growth driver.**

Risk Reward Themes

Disruption:	*Positive*
Self-help:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE W126,000

Upside to Re2O domestic and/or overseas sales

We assume a 6.5% terminal growth rate.

BASE CASE W79,000

L&C Bio leads the local ECM skin booster market

We expect Re2O domestic sales to more than quadruple from W61bn in 2026e to W268bn in 2030e.

BEAR CASE W16,000

L&C Bio loses market leadership

We assume a -3.0% terminal growth rate.

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Risk Reward – L&C Bio Co Ltd (290650.KQ)

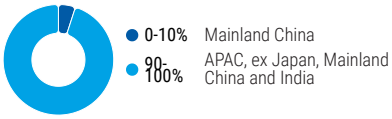
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Sales Growth (%)	18.7	90.4	43.9	33.8
EBIT Growth (%)	14.5	753.4	72.5	44.5
FCF Growth (%)	(383.2)	879.6	(92.1)	(1,608.1)

INVESTMENT DRIVERS

- Sales growth of major products
- Margin changes
- Approvals and launches of key products in major markets
- Partnerships with key players
- New product additions
- Changes in market dynamics, including the emergence of new products

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected Re2O sales in Korea and/or overseas markets
- Favorable regulatory changes
- Easing raw material constraints
- Positive developments from new products and other businesses

RISKS TO DOWNSIDE

- Lower-than-expected Re2O sales in Korea and/or overseas markets
- Unfavorable regulatory changes
- Raw material supply shortages
- Negative developments from new products and other businesses
- Issuance of new shares

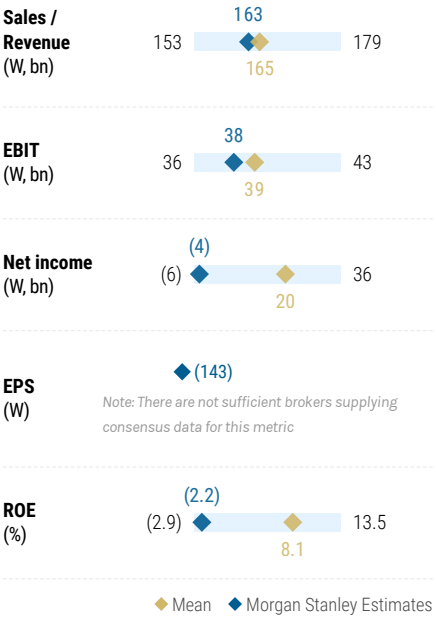
OWNERSHIP POSITIONING

Inst. Owners, % Active 61.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

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L&C Bio: DCF valuation

Exhibit 7: L&C Bio: DCF valuation

(KRW bn)	2025	2026E	2027E	2028E	2029E	2030E		Continuing
NOPLAT	4	-8	50	72	97	126		
Depreciation & Amortization	8	9	9	11	13	16		
Free Cash	**12**	**2**	**58**	**83**	**110**	**142**		
Working Capital Increase	2	33	31	29	26	22		
Capex (Tangible & Intangible Assets)	16	41	41	42	42	15		
Total Investment	**17**	**73**	**72**	**71**	**68**	**37**		
Free Cash Flow	**-5**	**-71**	**-14**	**12**	**43**	**105**		**110**
PVIF(Present Value Interest Factor)	1.00	0.92	0.85	0.79	0.73	0.67	0.62	0.62
PV of FCF	-5	-66	-12	10	31	70		
Terminal Value								3,952

Share Price Calculation	
FCF Growth (normalized, %)	5.5
Terminal Growth (%)	5.5
WACC	8.3
PV of FCF	28
PV of Continuing Value	2,450
Sum	2,478
Net Debt	114
Equity Value	2,364
Non-operating Assets	4
# of Shares ('000)	29,962
Share Price (calculated)	**79,000**
Stock Price	55,800
Total Return	**41.6%**

WACC Calculation	
Beta	1.10
Rf	3.0
Risk Premium	6.0
Re	**9.6**
We	0.8
Wd (optimal)	0.2
Re	9.6
Rd	4.0
WACC	**8.3**

Source: Morgan Stanley Research (E) estimates. Note: Priced as of the close of Oct 9, 2026.

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Classys: Financial Summary

Exhibit 8: Classys: Financial Summary

Income Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Net Sales	**337**	**413**	**472**	**523**
COGS	76	114	142	159
Gross Profit	**261**	**299**	**330**	**365**
SG&A	90	134	155	169
Operating Profit	**171**	**165**	**175**	**196**
Net NO Profit/Loss	(2)	(7)	(2)	1
Pre-tax Profit	**169**	**158**	**173**	**197**
Taxes	37	37	41	46
Net Profit	**132**	**121**	**133**	**150**
EPS (KRW)	**2,014**	**1,853**	**2,032**	**2,306**

Balance Sheet

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Cash & Equivalents	38	72	176	290
Marketable Securities	170	100	125	150
Acct Receivable	52	112	128	141
Inventories	30	66	76	84
Current Assets	**296**	**367**	**524**	**687**
Property and equipment, net	200	202	204	207
Intangible Assets	140	151	143	136
Investment assets	0	0	0	0
Other Non-Current Assets	70	89	93	96
Fixed Assets	**409**	**443**	**440**	**438**
Total Assets	**705**	**810**	**964**	**1,126**
Short term Debt	22	1	1	1
Trade Payable	23	50	57	63
Other Current Liablities	36	35	49	54
Current Liabilities	**80**	**86**	**107**	**118**
Long-Term Debt	63	36	36	36
Deferred tax liabilities	10	15	15	15
Other Long-Term Liabilities	0	1	1	1
Non-current Liabilities	**73**	**52**	**52**	**52**
Common stock	7	7	7	7
Capital Surplus	10	10	10	10
Retained Earnings	548	668	801	951
Equity to Minority Shareholders	(1)	(1)	(1)	(1)
Total Stockholder's equity	552	673	805	956
Total Liab+Eqty	**705**	**810**	**964**	**1,126**

Cash Flow Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Net Income	132	121	133	150
Dep & Amt	15	16	18	18
Chg in WC	5	(69)	(18)	(16)
Others	2	7	2	(1)
Payments for taxes	37	37	41	46
CF from Operations	**190**	**113**	**175**	**198**
Capital Expenditures	13	11	11	12
Other Investing Cash Flow	(122)	(5)	(5)	(6)
CF from Investing	**(109)**	**5**	**6**	**5**
Cash Dividends	(17)	(65)	(36)	(39)
Change in Debt	(4)	(48)	0	0
Change in Equity	0	0	0	0
Other Financing Cash Flow	(19)	29	(41)	(50)
CF from Financing	**(40)**	**(83)**	**(77)**	**(89)**
Change in Cash	**15**	**35**	**104**	**114**

Ratio Analysis

	2025	2026E	2027E	2028E
Growth				
Sales	38.6%	22.6%	14.4%	10.8%
EBITDA	42.9%	(2.1%)	6.4%	10.8%
Operating Profit	39.3%	(3.3%)	6.0%	12.1%
Net Income	35.3%	(8.4%)	9.6%	13.5%
EPS	34.8%	(8.0%)	9.6%	13.5%
Margins				
EBITDA	55.0%	43.9%	40.9%	40.8%
Gross Margin	77.5%	72.3%	69.8%	69.7%
Operating Profit	50.7%	39.9%	37.0%	37.5%
Net Income	39.2%	29.3%	28.1%	28.7%
ROE	23.9%	18.0%	16.5%	15.7%
ROA	18.7%	14.9%	13.8%	13.4%
Operating Efficiency				
Accounts receivable turnover	6.5x	3.7x	3.7x	3.7x
Accounts payable turnover	14.9x	8.3x	8.3x	8.3x
Inventory turnover	11.2x	6.3x	6.3x	6.3x
Leverage				
Net Debt to Equity	(0.2)	(0.2)	(0.3)	(0.4)

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates.

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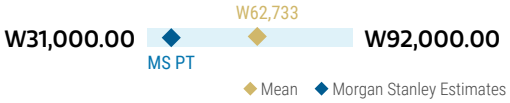
Risk Reward – Classys Inc (214150.KQ)

RF device sales are rising but HIFU device sales are a drag; EW

PRICE TARGET W37,000

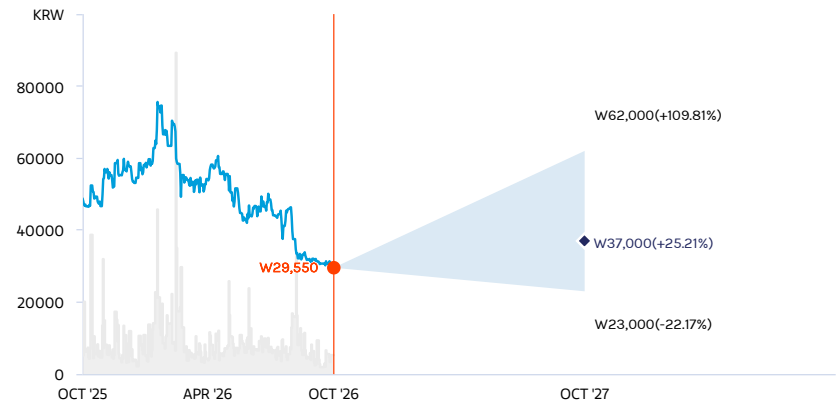
We derive our price target (base case) from a DCF model to best capture the company's sustainable growth potential over the longer term. We assume a 9.6% cost of equity (beta 1.10, risk-free rate 3.0% and risk premium 6.0%) and 2.0% terminal growth and FCF growth.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



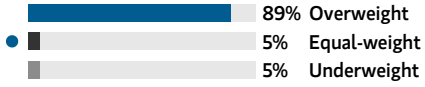
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Exports accounted for 67% of total sales in 2025.
- In 2025, existing Ultraformer franchise (HIFU brand for exports) device unit exports were flat, but the new RF device Volnewmer exports grew c.60% YoY.
- We rate the shares EW relative to our coverage. We believe medical beauty device makers need to launch new products every three to four years to sustain good growth, but note it is difficult to predict future product launches or successes. Also, margin will likely decrease due to the acquisition of MedSystems (a distributor in Brazil) in March 2026.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE W62,000

Achieves better-than-expected market share

Classys expands market share across the globe, above our base-case expectations. We assume a 5.0% terminal growth rate.

BASE CASE W37,000

Gradual decline in growth

Expanding market share across the globe, but sales growth falls to 6% in 2030. We assume a 2.0% terminal growth rate.

BEAR CASE W23,000

Weakening market leadership

Classys loses market share across the globe while the market is growing. We assume a -5.0% terminal growth rate.

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Risk Reward – Classys Inc (214150.KQ)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Sales Growth (%)	38.6	22.6	14.4	10.8
EBIT Growth (%)	39.3	(5.0)	2.1	15.4
FCF Growth (%)	54.6	246.3	430.1	634.4

INVESTMENT DRIVERS

- Sales growth of major products
- Margin improvement
- Development of new devices and improvements of existing products

GLOBAL REVENUE EXPOSURE



- 0-10% Japan
- 0-10% MEA
- 0-10% North America
- 0-10% UK
- 10-20% Europe ex UK
- 20-30% Latin America
- 40-50% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected sales of HIFU devices
- Better-than-expected sales of the RF device Volnewmer
- Improvement in margin
- Positive impact from M&A, new business or change in ownership

RISKS TO DOWNSIDE

- Disappointing sales of HIFU devices
- Sluggish sales of the RF device Volnewmer
- Decline in margin
- Potential risk from unexpected lawsuits
- Negative impact from M&A, new business or change in ownership

OWNERSHIP POSITIONING

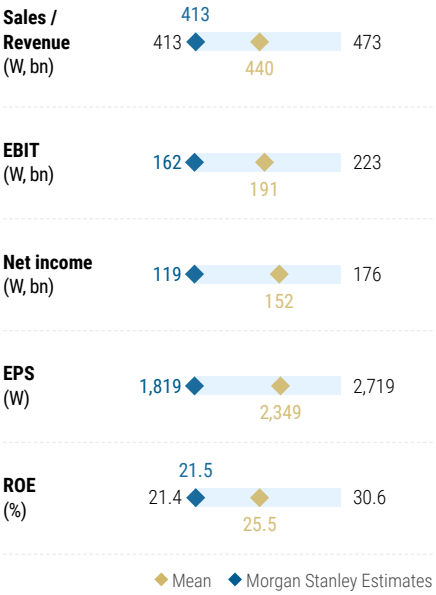
Inst. Owners, % Active 86.9%



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

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Classys: DCF Valuation

Exhibit 9: Classys: DCF Valuation [Free Cash - not Free Cach]->Changed.

(KRW bn)	2025	2026E	2027E	2028E	2029E	2030E		Continuing
NOPLAT	134	126	134	150	162	171		
Depreciation & Amortization	15	16	18	18	17	17		
Free Cash	**148**	**143**	**152**	**168**	**179**	**188**		
Working Capital Increase	-5	69	18	16	13	9		
Capex (Tangible & Intangible Assets)	17	11	12	13	13	13		
Total Investment	**12**	**80**	**30**	**28**	**26**	**22**		
Free Cash Flow	**136**	**63**	**122**	**139**	**153**	**166**		**169**
PVIF(Present Value Interest Factor)	1.00	0.92	0.85	0.79	0.73	0.67	0.62	0.62
PV of FCF	136	58	104	110	111	111		
Terminal Value								2,685

Share Price Calculation	
FCF Growth (normalized, %)	2.0
Terminal Growth (%)	2.0
WACC	8.3
PV of FCF	629
PV of Continuing Value	1,665
Sum	2,294
Net Debt	-123
Equity Value	2,417
Non-operating Assets	29
# of Shares ('000)	65,236
Share Price (calculated)	**37,000**
Stock Price	30,100
Total Return	22.9%

WACC Calculation	
Beta	1.10
Rf	3.0
Risk Premium	6.0
Dividend Yield (%)	0.0
Re	**9.6**
We	0.8
Wd (optimal)	0.2
Re	9.6
Rd	4.0
WACC	**8.3**

Source: Morgan Stanley Research (E) estimates. Note: Priced as of Oct 9, 2026.

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Hugel Inc: Financial Summary

Exhibit 10: Hugel Inc: Financial Summary

Income Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Net Sales	**425**	**495**	**640**	**711**
COGS	92	124	150	164
Gross Profit	**333**	**371**	**490**	**547**
SG&A	133	199	273	309
Operating Profit	**201**	**171**	**217**	**238**
Net NO Profit/Loss	(4)	5	8	10
Pre-tax Profit	**197**	**177**	**225**	**248**
Taxes	50	41	53	58
Net Profit	**147**	**135**	**172**	**189**
EPS (KRW)	**11,256**	**10,593**	**13,478**	**14,858**

Balance Sheet

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Cash & Equivalents	210	265	388	536
Marketable Securities	324	350	360	370
Acct Receivable	80	94	122	135
Inventories	56	64	83	92
Current Assets	**679**	**788**	**969**	**1,151**
Property and equipment, net	147	182	185	188
Intangible Assets	191	203	219	236
Investment assets	6	6	7	7
Other Non-Current Assets	54	55	60	65
Fixed Assets	**397**	**446**	**470**	**496**
Total Assets	**1,077**	**1,234**	**1,439**	**1,647**
Short term Debt	3	10	11	12
Trade Payable	25	28	37	41
Other Current Liablities	65	76	99	110
Current Liabilities	**93**	**115**	**146**	**162**
Long-Term Debt	0	0	0	0
Deferred tax liabilities	1	2	2	2
Other Long-Term Liabilities	2	3	5	6
Non-current Liabilities	**4**	**4**	**6**	**8**
Common stock	7	7	7	7
Capital Surplus	437	437	437	437
Retained Earnings	1,160	1,295	1,467	1,656
Equity to Minority Shareholders	30	30	30	30
Total Stockholder's equity	980	1,115	1,287	1,476
Total Liab+Eqty	**1,077**	**1,234**	**1,439**	**1,647**

Cash Flow Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Net Income	147	135	172	189
Dep & Amt	20	24	24	26
Chg in WC	(44)	(19)	(38)	(19)
Others	15	(0)	(3)	(4)
Payments for taxes	50	41	53	58
CF from Operations	**188**	**182**	**208**	**251**
Capital Expenditures	13	50	19	22
Other Investing Cash Flow	(62)	(91)	(31)	(34)
CF from Investing	**(49)**	**(41)**	**(12)**	**(12)**
Cash Dividends	0	0	0	0
Change in Debt	0	0	0	0
Change in Equity	0	(0)	0	0
Other Financing Cash Flow	(22)	(85)	(73)	(91)
CF from Financing	**(22)**	**(85)**	**(73)**	**(91)**
Change in Cash	**80**	**55**	**123**	**148**

Ratio Analysis

	2025	2026E	2027E	2028E
Growth				
Sales	14.0%	16.5%	29.2%	11.1%
EBITDA	21.7%	(11.4%)	23.4%	9.3%
Operating Profit	20.8%	(14.6%)	26.4%	9.6%
Net Income	2.7%	(8.1%)	27.2%	10.2%
EPS	6.2%	(5.9%)	27.2%	10.2%
Margins				
EBITDA	51.9%	39.5%	37.7%	37.0%
Gross Margin	78.4%	74.9%	76.6%	76.9%
Operating Profit	47.2%	34.6%	33.9%	33.4%
Net Income	34.6%	27.3%	26.9%	26.6%
ROE	15.0%	12.1%	13.4%	12.8%
ROA	13.6%	10.9%	11.9%	11.5%
Operating Efficiency				
Accounts receivable turnover	5.3x	5.3x	5.3x	5.3x
Accounts payable turnover	17.2x	17.5x	17.5x	17.5x
Inventory turnover	7.6x	7.7x	7.7x	7.7x
Leverage				
Net Debt to Equity	(0.5)	(0.5)	(0.6)	(0.6)

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates.

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Risk Reward – Hugel Inc (145020.KQ)

Leading Korean botulinum toxin maker facing increased competition

PRICE TARGET W226,000

Base case, discounted cash flow model. We think this method best captures the company's sustainable growth potential over the longer term. Key assumptions:

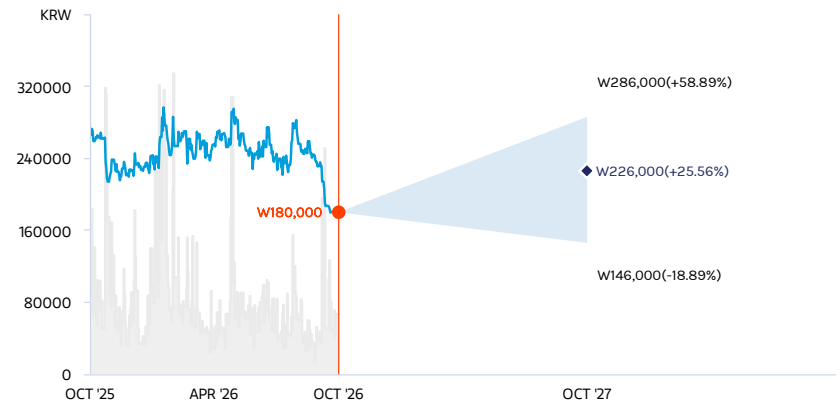
- WACC 8.3%, including a 9.3% cost of equity (beta 1.1, risk-free rate 3.0%, risk premium 6.0%).
- 1.5% terminal growth rate.

Consensus Price Target Distribution W180,000.00 — W341,267 — MS PT — W430,000.00

Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We see increased competition in botulinum toxin markets in Korea and some emerging countries.
- Although toxin product sales will likely grow in major countries, such as the US and China, sales in Korea and some emerging countries will likely be slow - a drag factor.
- Also, HA dermal filler product growth has slowed meaningfully since 2024 - no more product bundling effects with toxin products. We believe this is because of the emergence of non-HA products.
- Our EW rating on the stock relative to our coverage reflects Hugel's modest growth and reasonable valuation (in terms of P/E and P/BV).

Consensus Rating Distribution

89% Overweight
5% Equal-weight
5% Underweight
● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE W286,000

Strengthening market leadership

We see Hugel increasing market share notably across the globe, above our base-case expectations. We assume a 3.5% terminal growth rate.

BASE CASE W226,000

Increased competition in botulinum toxin market

Although toxin product sales should grow in major countries, such as the US and China, sales in Korea and some emerging countries will likely be slow. We assume a 1.5% terminal growth rate.

BEAR CASE W146,000

Weakening market leadership

We assume Hugel loses market share across the globe as a result of increased competition in the medical aesthetics market. We assume a -7.5% terminal growth rate.

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Risk Reward – Hugel Inc (145020.KQ)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Sales Growth (%)	14.0	16.5	29.2	11.1
EBIT Growth (%)	20.8	(14.6)	26.4	9.6
FCF Growth (%)	9.3	(15.9)	39.0	21.4

INVESTMENT DRIVERS

- Sales growth of major products
- Launching major products in major markets (e.g., China, US, EU)
- Adding new products in medical aesthetics
- Margin expansion via operating leverage or improvement in cost control

GLOBAL REVENUE EXPOSURE



- 0-10% Japan
- 0-10% Latin America
- 0-10% Mainland China
- 0-10% North America
- 0-10% UK
- 10-20% Europe ex UK
- 50-60% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected domestic/overseas penetration
- Better-than-expected margin improvement
- Pursuing new business opportunities

RISKS TO DOWNSIDE

- Slower-than-expected domestic/overseas penetration
- Lower-than-expected margin profile of its products
- Disappointing outcome from new business
- Lawsuits from competitors

OWNERSHIP POSITIONING

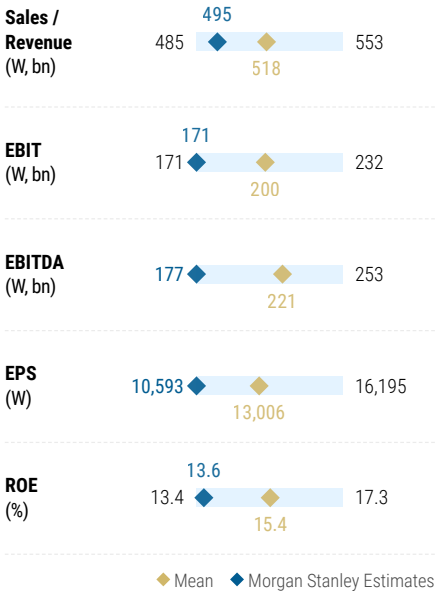
Inst. Owners, % Active 85.1%



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

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Hugel: DCF Valuation

Exhibit 11: Hugel: DCF Valuation

(KRW bn)	2025	2026E	2027E	2028E	2029E	2030E		Continuing
NOPLAT	150	131	166	182	192	198		
Depreciation & Amortization	20	24	24	26	26	27		
Free Cash	**170**	**155**	**190**	**208**	**218**	**225**		
Working Capital Increase	44	19	38	19	15	11		
Capex (Tangible & Intangible Assets)	17	56	27	31	34	38		
Total Investment	**60**	**75**	**65**	**49**	**49**	**49**		
Free Cash Flow	**109**	**80**	**125**	**158**	**169**	**176**		**179**
PVIF (Present Value Interest Factor)	1.00	0.92	0.85	0.79	0.73	0.67	0.62	0.62
PV of FCF	109	74	107	125	123	118		
Terminal Value								2,630

Share Price Calculation	
FCF Growth (normalized, %)	1.5
Terminal Growth (%)	1.5
WACC	8.3
PV of FCF	656
PV of Continuing Value	1,630
Sum	2,286
Net Debt	-530
Equity Value	2,816
Non-operating Assets	6
# of Shares ('000)	12,515
Share Price (calculated)	**226,000**
Stock Price	180,600
Total Return	**24.9%**

WACC Calculation	
Beta	1.10
Rf	3.0
Risk Premium	6.0
Re	**9.6**
We	0.8
Wd (optimal)	0.2
Re	9.6
Rd	4.0
WACC	**8.3**

Source: Morgan Stanley Research (E) estimates. Note: Priced as of Oct 9, 2026.

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MedyTox: Financial Summary

Exhibit 12: MedyTox: Financial Summary

Income Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Net Sales	**247**	**261**	**278**	**291**
COGS	104	101	108	114
Gross Profit	**143**	**160**	**170**	**178**
SG&A	126	128	123	120
Operating Profit	**17**	**32**	**47**	**57**
Net NO Profit/Loss	(10)	(1)	0	0
Pre-tax Profit	**7**	**30**	**47**	**58**
Taxes	(9)	5	11	14
Net Profit	**16**	**26**	**36**	**44**
EPS (KRW)	**2,144**	**3,427**	**4,780**	**5,827**

Balance Sheet

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Cash & Equivalents	49	105	112	118
Marketable Securities	0	1	2	3
Acct Receivable	59	68	72	76
Inventories	43	44	47	50
Current Assets	**155**	**223**	**240**	**254**
Property and equipment, net	200	193	188	184
Intangible Assets	78	93	110	125
Investment assets	29	30	30	30
Other Non-Current Assets	120	108	110	111
Fixed Assets	**426**	**424**	**437**	**451**
Total Assets	**582**	**647**	**677**	**704**
Short term Debt	57	86	87	88
Trade Payable	43	44	47	49
Other Current Liablities	5	8	8	9
Current Liabilities	**105**	**137**	**142**	**145**
Long-Term Debt	18	37	37	37
Deferred tax liabilities	0	0	0	0
Other Long-Term Liabilities	5	3	3	3
Non-current Liabilities	**23**	**40**	**40**	**40**
Common stock	4	4	4	4
Capital Surplus	153	153	153	153
Retained Earnings	436	451	477	500
Equity to Minority Shareholders	2	2	2	2
Total Stockholder's equity	454	470	495	519
Total Liab+Eqty	**582**	**647**	**677**	**704**

Cash Flow Statement

KRW bn (Years End Dec)	2025	2026E	2027E	2028E
Net Income	16	26	36	44
Dep & Amt	20	20	20	21
Chg in WC	23	(8)	(5)	(3)
Others	12	9	(13)	(16)
Payments for taxes	(9)	5	11	14
CF from Operations	**61**	**51**	**49**	**59**
Capital Expenditures	16	10	11	12
Other Investing Cash Flow	(36)	(40)	(42)	(45)
CF from Investing	**(21)**	**(30)**	**(31)**	**(33)**
Cash Dividends	(9)	(10)	(11)	(21)
Change in Debt	(5)	46	0	0
Change in Equity	0	0	0	0
Other Financing Cash Flow	(24)	(2)	0	0
CF from Financing	**(38)**	**34**	**(10)**	**(20)**
Change in Cash	**3**	**56**	**8**	**6**

Ratio Analysis

	2025	2026E	2027E	2028E
Growth				
Sales	8.2%	5.5%	6.6%	4.7%
EBITDA	(8.0%)	39.1%	28.8%	17.1%
Operating Profit	(16.5%)	85.7%	48.3%	22.2%
Net Income	(2.6%)	63.0%	41.0%	22.5%
EPS	(2.1%)	59.9%	39.5%	21.9%
Margins				
EBITDA	15.0%	19.8%	23.9%	26.7%
Gross Margin	57.9%	61.3%	61.1%	60.9%
Operating Profit	6.9%	12.1%	16.8%	19.6%
Net Income	6.3%	9.8%	12.9%	15.1%
ROE	3.4%	5.4%	7.3%	8.5%
ROA	2.7%	3.9%	5.3%	6.3%
Operating Efficiency				
Accounts receivable turnover	4.2x	3.8x	3.8x	3.8x
Accounts payable turnover	5.8x	5.9x	5.9x	5.9x
Inventory turnover	5.7x	5.9x	5.9x	5.9x
Leverage				
Net Debt to Equity	0.1	0.0	0.0	0.0

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates.

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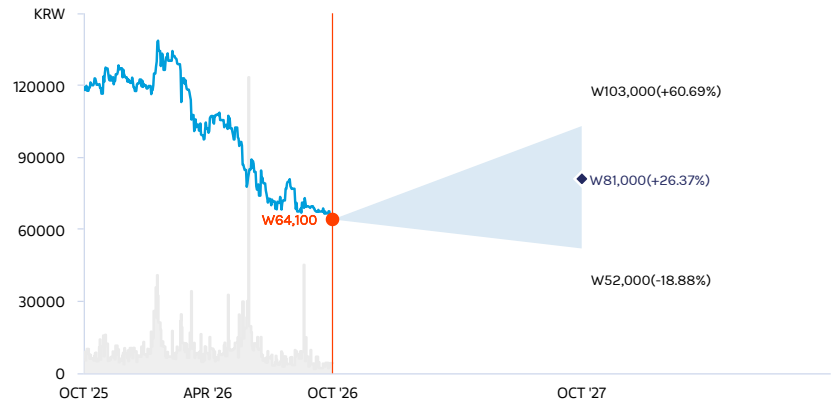
Risk Reward – MedyTox (086900.KQ)

Leading toxin maker likely to enter US market in 2029

PRICE TARGET W81,000

Base case, derived from DCF, as we think this methodology best captures Medytox's sustainable growth potential over the longer term. We apply a WACC of 8.3% based on 1.1 beta, a 3.0% risk-free rate, and 6.0% equity risk premium, and 1.5% terminal growth and 1.5% FCF growth.

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We forecast a 4% sales CAGR for MedyTox over 2025-33, reaching W330bn in 2033, owing to domestic and overseas toxin sales growth.
- US toxin sales may be a swing factor as it will depend on US FDA approval of its liquid toxin MT10109L, likely around 2029; we assume 40% probability of success, reflecting MedyTox's relatively strong expertise in the botulinum toxin industry, and having learned from the FDA application decline in Feb-24.
- We forecast OP margin will grow from 7% in 2025 to 20% in 2028 on operating leverage and lower legal fees.
- Our EW rating relative to our coverage reflects MedyTox's uncertain outlook.

Consensus Rating Distribution

0%	Overweight
80%	Equal-weight
20%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE W103,000

MedyTox strengthens its market leadership.

We assume a 3.5% terminal growth rate.

BASE CASE W81,000

MedyTox maintains its market leadership.

We expect MedyTox to launch its toxin product in the US in 2029 with a 40% probability of success (POS).

BEAR CASE W52,000

MedyTox loses its market leadership.

We assume a -7.5% terminal growth rate.

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Risk Reward – MedyTox (086900.KQ)

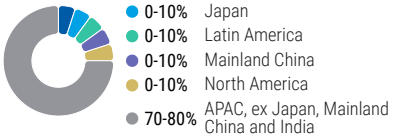
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Sales Growth (%)	8.2	5.5	6.6	4.7
EBIT Growth (%)	(16.5)	85.7	48.3	22.2
FCF Growth (%)	65.2	(11.0)	(8.0)	23.8

INVESTMENT DRIVERS

- Sales growth of major products
- Margin improvement or decrease
- Approvals on major products from key countries
- Partnering with key players
- Adding new key products
- Ruling from ongoing/potential lawsuits

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected sales growth
- Margin improvement
- Approvals for major products from key countries
- Partnering with key players
- Addition of new key products
- Favorable outcome from lawsuits

RISKS TO DOWNSIDE

- Lower-than-expected sales growth
- Margin decrease
- Delay or failure in getting approvals for major products from key countries
- Unfavorable outcomes from lawsuits

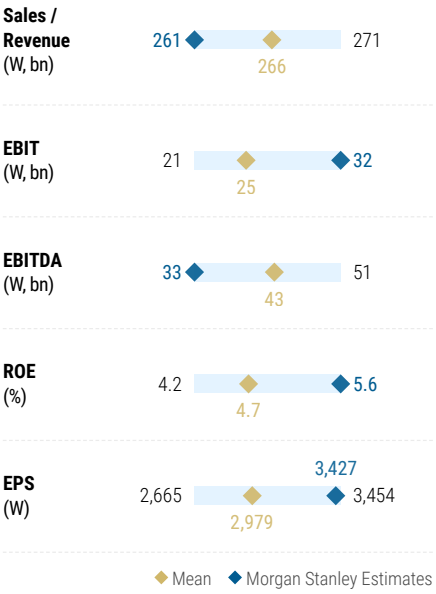
OWNERSHIP POSITIONING

Inst. Owners, % Active 29.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

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MedyTox: DCF valuation

Exhibit 13: MedyTox: DCF valuation

(KRW bn)	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	Continuing	
NOPLAT	na	27	36	44	52	67	71	75	65		
Depreciation & Amortization	20	20	20	21	22	21	21	21	22		
Free Cash	**20**	**46**	**55**	**64**	**74**	**88**	**92**	**97**	**86**		
Working Capital Increase	-23	8	5	3	5	5	4	4	-5		
Capex (Tangible & Intangible Assets)	33	29	31	33	35	37	39	41	40		
Total Investment	**11**	**37**	**36**	**36**	**39**	**42**	**43**	**45**	**35**		
Free Cash Flow	**10**	**9**	**20**	**28**	**34**	**46**	**49**	**52**	**52**		**52**
PVIF(Present Value Interest Factor)	1.00	0.92	0.85	0.79	0.73	0.67	0.62	0.57	0.53	0.49	0.49
PV of FCF	10	8	17	22	25	31	30	30	27		
Terminal Value											771

Share Price Calculation	
FCF Growth (Normalized, %)	1.5
Terminal Growth (%)	1.5
WACC	8.3
PV of FCF	201
PV of Continuing Value	377
Sum	577
Net Debt	26
Equity Value	551
Non-Operating Assets	78
# of Shares ('000)	7,739
Share Price (Calculated)	**81,000**
Stock Price	66,100
Total Return	**23.1%**

WACC Calculation	
Beta	1.10
Rf	3.0
Risk Premium	6.0
Re	**9.6**
We	0.8
Wd (optimal)	0.2
Re	9.6
Rd	4.0
WACC	**8.3**

Source: Company data, Morgan Stanley Research (E) estimates. Note: Priced as of Oct 9, 2026.

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Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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As of September 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Hugel Inc, L&C Bio Co Ltd, MedyTox, SK Biopharmaceuticals Co Ltd.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Celltrion Inc, SK Biopharmaceuticals Co Ltd, SK Bioscience Co Ltd.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Celltrion Inc, SK Biopharmaceuticals Co Ltd, SK Bioscience Co Ltd.

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Global Stock Ratings Distribution

(as of September 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

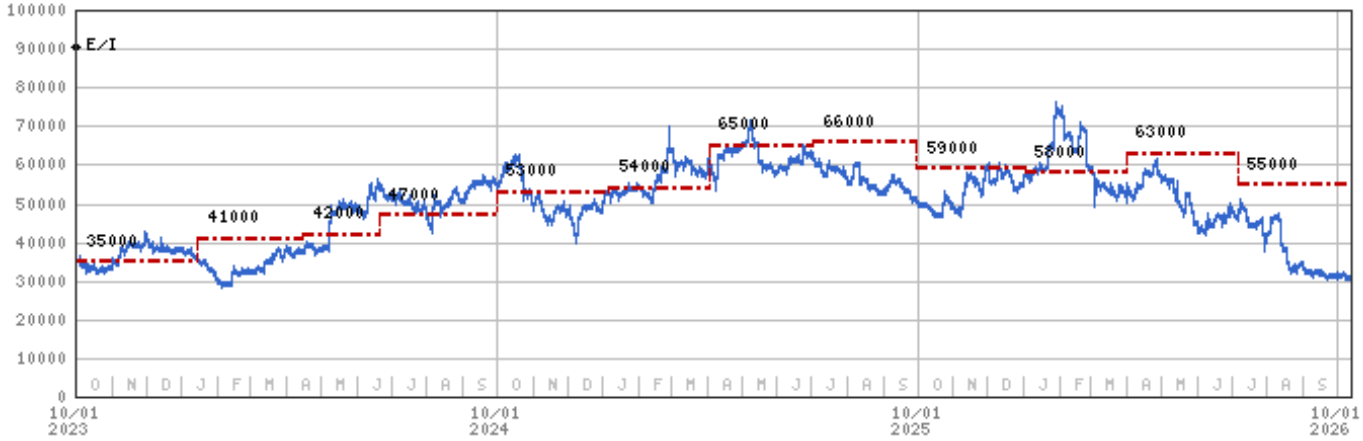
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

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Classys Inc (214150.KQ) - As of 10/12/26 GMT in KRW
Industry : S. Korea Healthcare



Stock Rating History: 7/20/23 : E/I

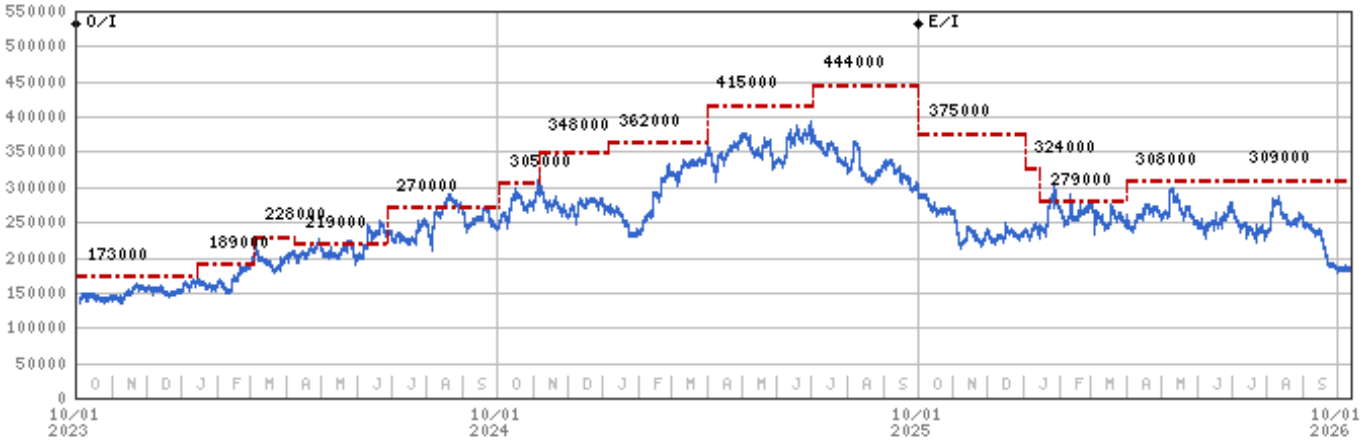
Price Target History: 7/20/23 : 35000; 1/15/24 : 41000; 4/15/24 : 42000; 6/20/24 : 47000; 9/30/24 : 53000; 1/6/25 : 54000; 4/3/25 : 65000; 7/3/25 : 66000; 9/30/25 : 59000; 1/2/26 : 58000; 3/31/26 : 63000; 7/6/26 : 55000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Hugel Inc (145020.KQ) - As of 10/12/26 GMT in KRW
Industry : S. Korea Healthcare



Stock Rating History: 10/1/21 : NA/NR; 10/27/21 : NA/I; 2/1/23 : O/I; 10/2/25 : E/I

Price Target History: 8/24/21 : NA; 2/1/23 : 191000; 4/18/23 : 169000; 5/10/23 : 172000; 8/9/23 : 173000; 1/15/24 : 189000; 3/4/24 : 228000; 4/8/24 : 219000; 6/27/24 : 270000; 10/3/24 : 305000; 11/6/24 : 348000; 1/6/25 : 362000; 4/1/25 : 415000; 7/3/25 : 444000; 10/2/25 : 375000; 1/2/26 : 324000; 1/16/26 : 279000; 3/31/26 : 308000; 7/7/26 : 309000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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L&C Bio Co Ltd (290650.KQ) - As of 10/12/26 GMT in KRW
Industry : S. Korea Healthcare



Stock Rating History: 5/20/26 : O/I

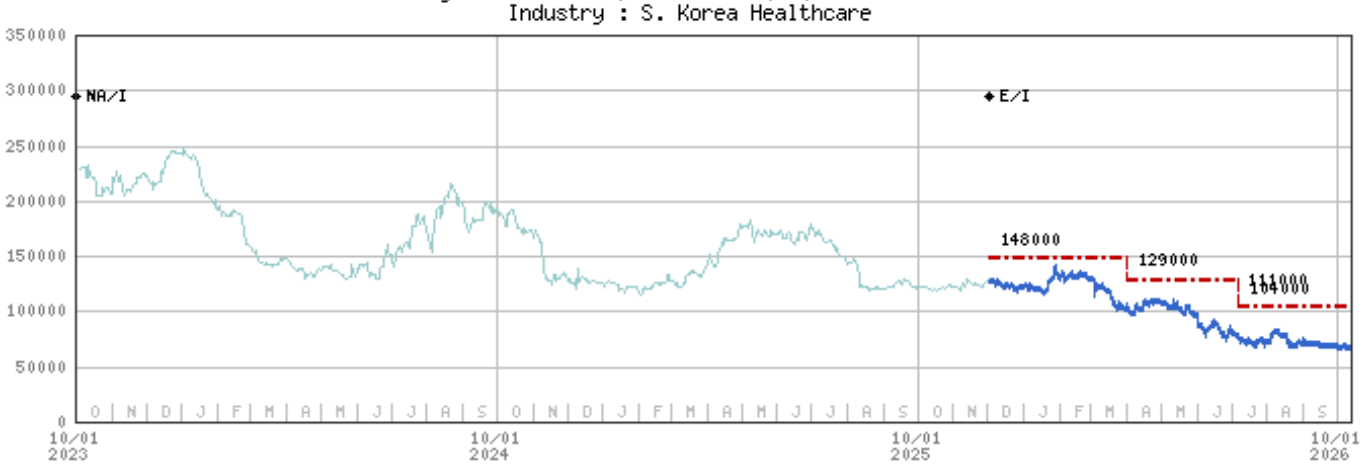
Price Target History: 5/20/26 : 91000; 7/6/26 : 103000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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MedyTox (086900.KQ) - As of 10/12/26 GMT in KRW
Industry : S. Korea Healthcare



Stock Rating History: 10/1/21 : NA/NR; 10/27/21 : NA/I; 12/3/25 : E/I

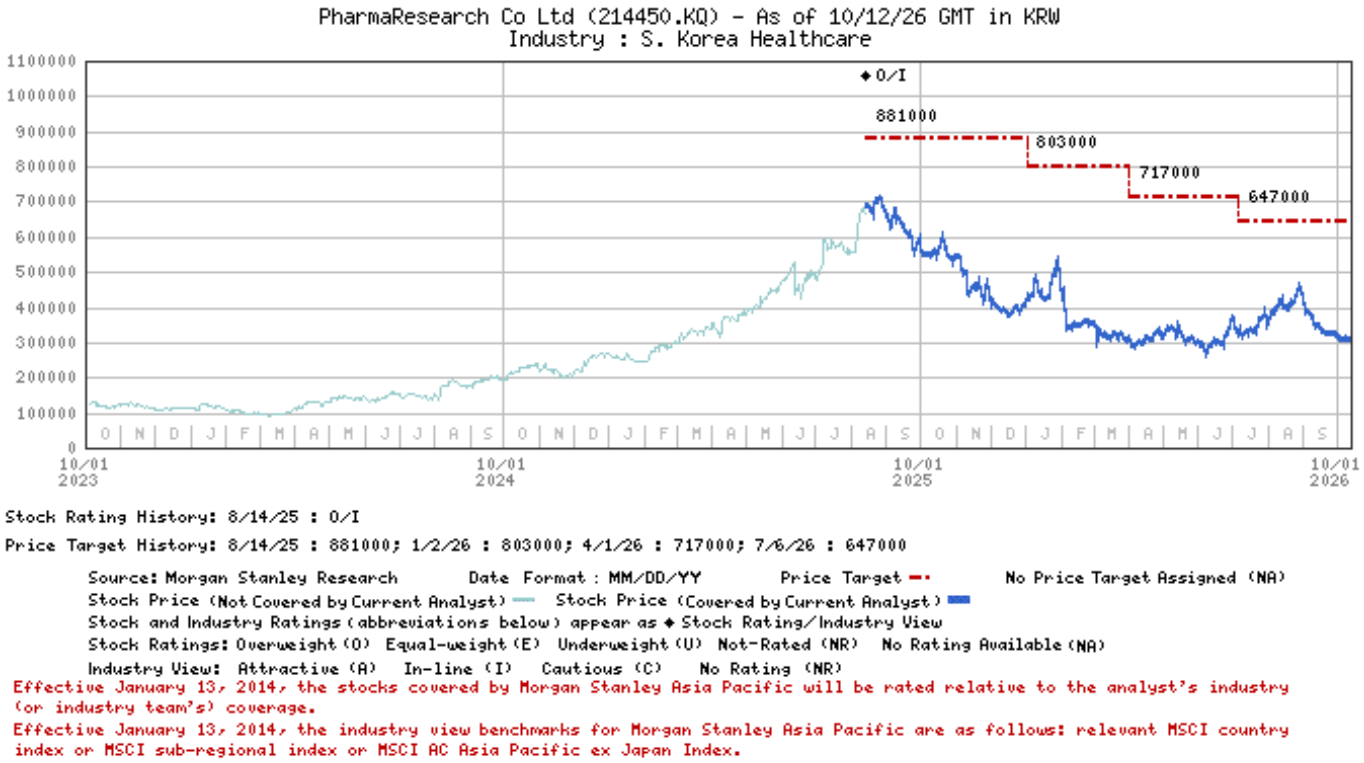
Price Target History: 12/3/25 : 148000; 4/1/26 : 129000; 7/6/26 : 111000; 7/7/26 : 104000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: S. Korea Healthcare

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/12/2026)
Mi Hyun Kim		
Binex Co Ltd (053030.KQ)	O (09/18/2024)	W6,070
Celltrion Inc (068270.KS)	O (01/12/2026)	W180,400
Classys Inc (214150.KQ)	E (07/20/2023)	W29,550
GC Biopharma Corp. (006280.KS)	O (11/26/2024)	W128,100
Hugel Inc (145020.KQ)	E (10/02/2025)	W180,000
L&C Bio Co Ltd (290650.KQ)	O (05/20/2026)	W56,900
MedyTox (086900.KQ)	E (12/03/2025)	W64,100
PharmaResearch Co Ltd (214450.KQ)	O (08/14/2025)	W297,000
Samsung Biologics Co Ltd (207940.KS)	O (10/27/2021)	W1,201,000
SK Biopharmaceuticals Co Ltd (326030.KS)	U (08/10/2023)	W71,000
SK Bioscience Co Ltd (302440.KS)	U (05/04/2022)	W36,450
Yuhan Corp. (000100.KS)	E (04/01/2026)	W72,000

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